

more times than not, this money is not allocated.

When “life events” occur, money that could have been saved is now spent. The secret is to learn how to balance the inevitable life events with the need to save. The following story illustrates this struggle.

Tatum’s father was a bank executive who was reminded daily of the virtues of saving money. He did not want this valuable lesson to escape his daughter so he lectured Tatum constantly about this topic. She remembers her father’s first savings lesson when he gave her a piggy bank while she was a first grader.

Tatum had tried all her life to fill up the piggy bank, but it always seemed to stay empty. Now nineteen, Tatum’s piggy bank had been replaced by a savings account in her father’s bank. This account also remained virtually empty. It wasn’t that Tatum did not have a savings plan, it just seemed that something always occurred to cause her plan to be delayed. “I didn’t expect” became her overused phrase to explain why she couldn’t possibly start saving now.

As a graduation present from high school, Tatum’s parents gave her a used car. Although Tatum did not have monthly loan payments because the car had been a gift, she still ended up paying other car-related expenses. First it was the air conditioning that stopped working and needed to be repaired. Then came the new set of tires to take the place of the threadbare ones. Finally, the brakes became so worn that they needed to be replaced before an accident occurred. All of these unanticipated car expenses put a strain on Tatum’s limited finances.

Eager to assert her adulthood, Tatum chose to move into an apartment with her friend Jenny. When they moved into their new, unfurnished home, they found that to their surprise, “unfurnished” meant that the rooms were empty. They needed to make large purchases to fill up the rooms. Tatum made a trip to a furniture store, which gave her an instant credit limit of

